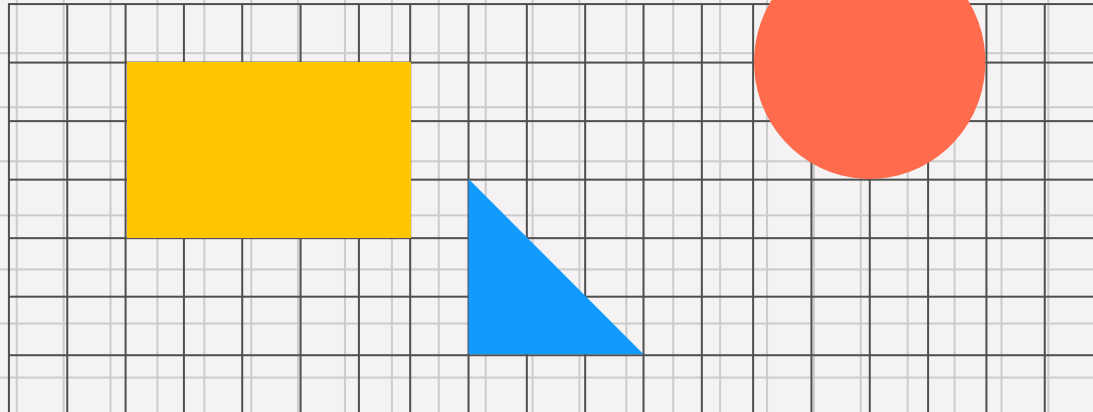


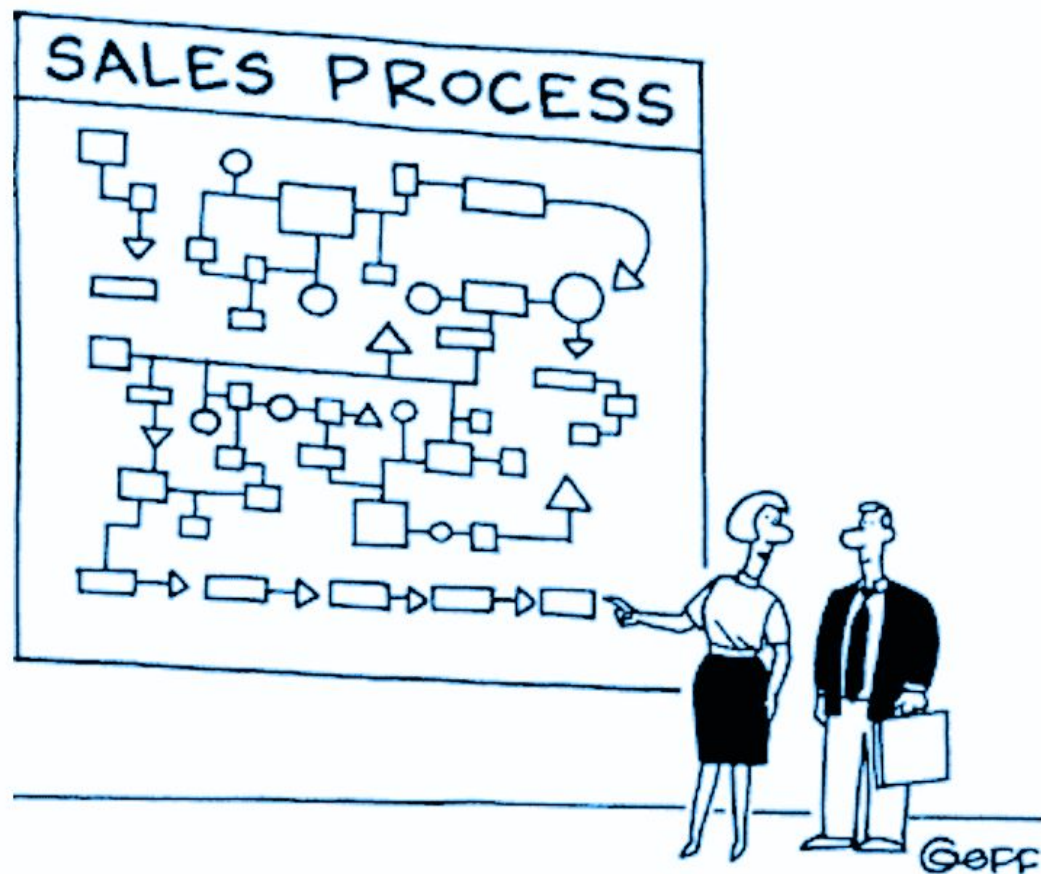
Spring 2026

IS 365

Week 1:

Introduction to Business
Process Management (BPM)





"And then you'll close the sale."

Case Study: Ford Motors

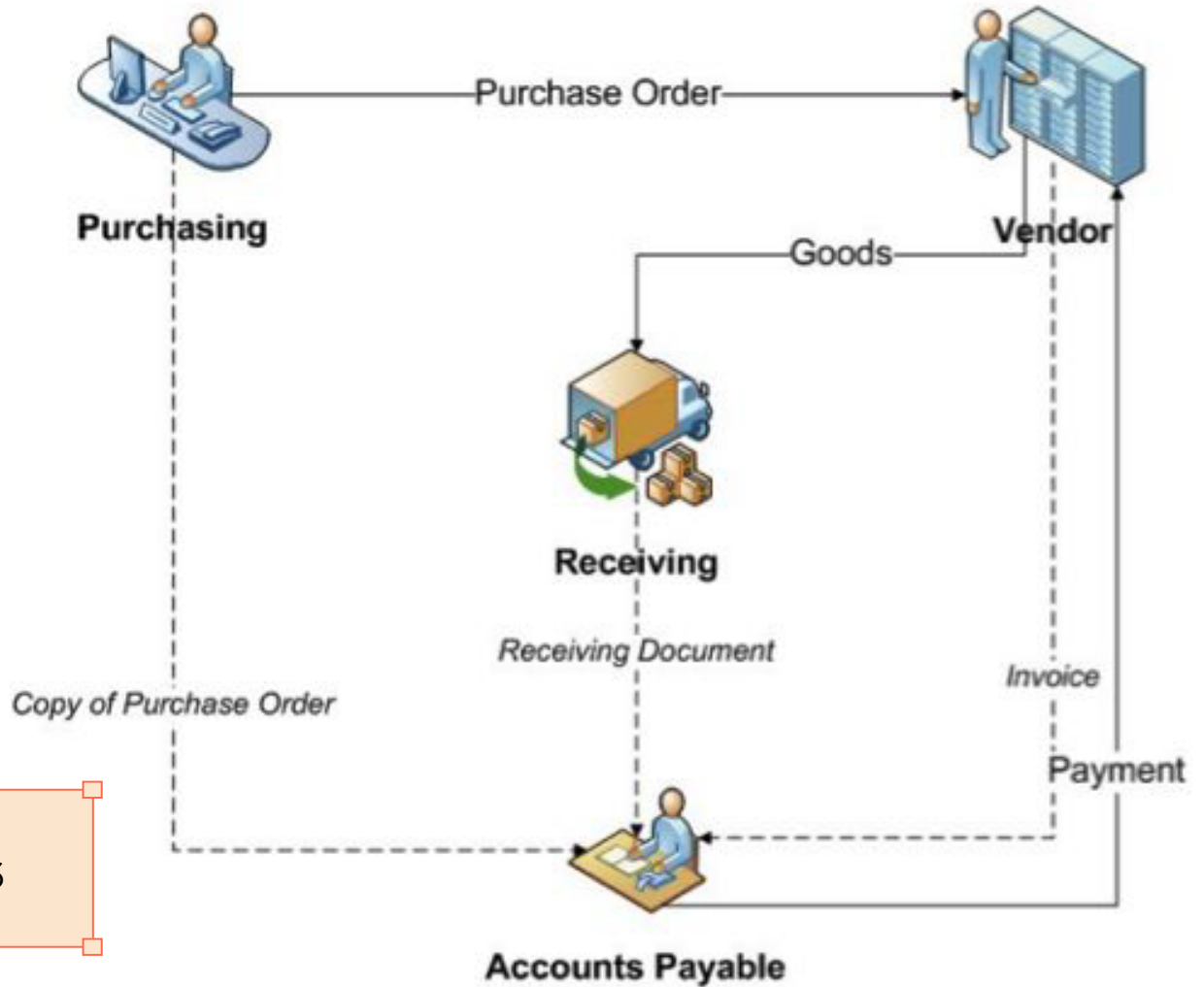
Business Problem

Ford employed 500 people to handle their accounts payable process.

Mazda managed the same process with 100 people.

So Ford saw an opportunity to reduce costs.

Before:



500 people employed to manually check 14 items in 3 different documents.

Solution



Process: Ford imagined an invoice-less process that didn't need manual AP reconciliation.

Solution

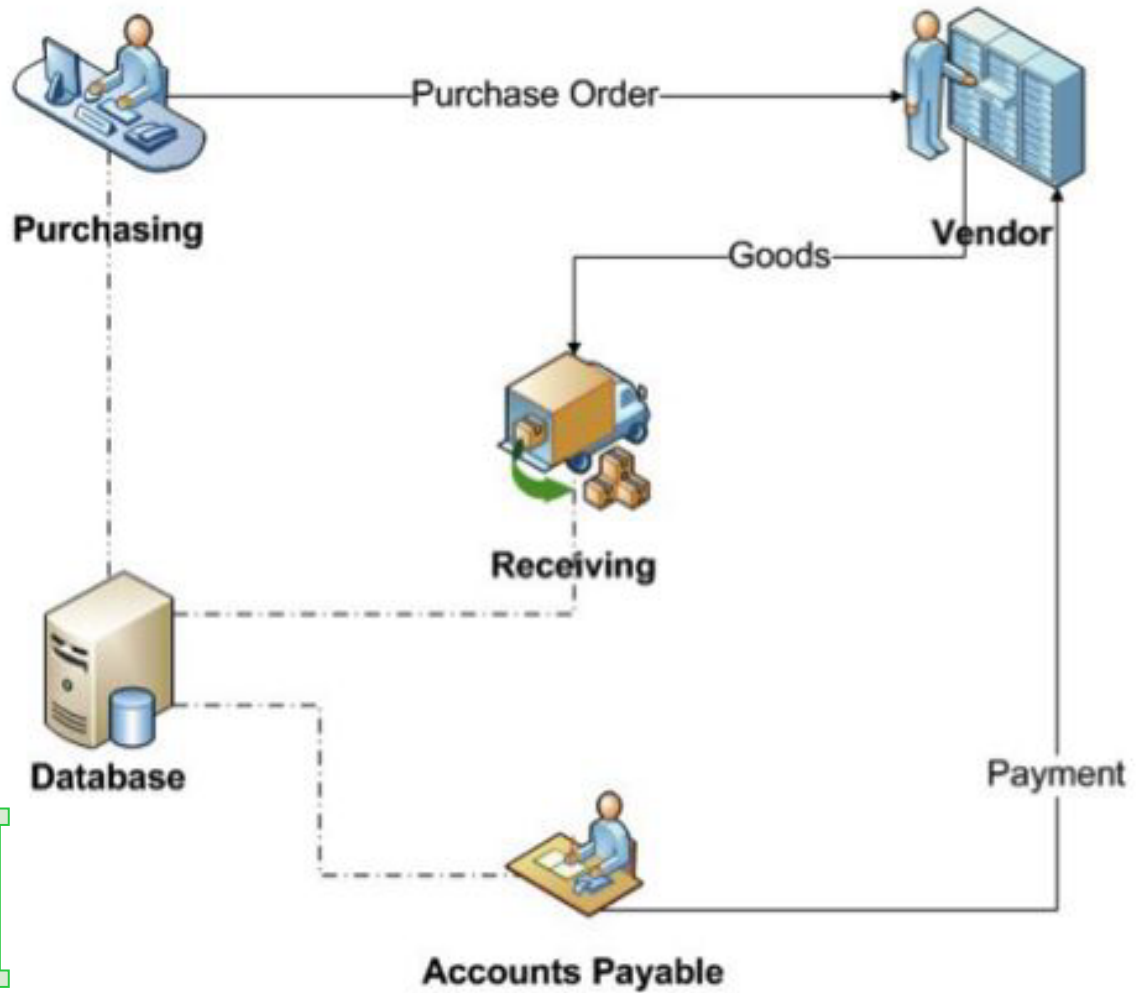


Process: Ford imagined an invoice-less process that didn't need manual AP reconciliation.



Technology: Purchasing orders, materials receipt, and payments all reconciled automatically using IT.

After:

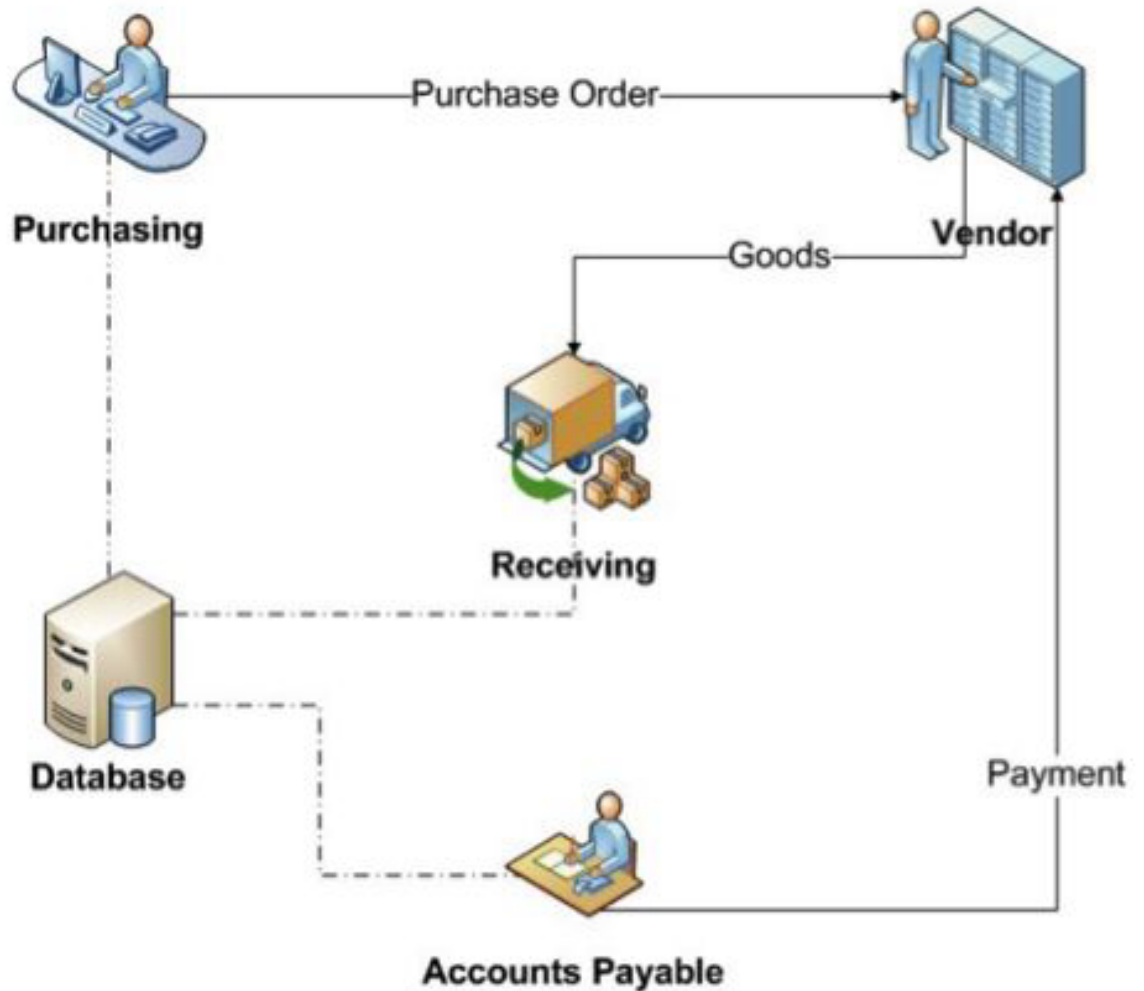


AP department downsized to 120 people.

Result

Result: Ford cut Accounts Payable workforce by **76%** after BPM redesign.

Discussion: Can we do better?



More Examples

Retail Store Operations

1

9

Contract Management

Marketing Request Management

2

10

Customer Service Management

Supply Chain Logistics

3

11

Compliance and Risk Management

Claims Management

4

12

Acquisition and Procurement

Employee Onboarding

5

13

Lease Management

Healthcare Patient Journey

6

14

Service Request Records

Project Management

7

15

Inventory Management

Supplier Relationship Management

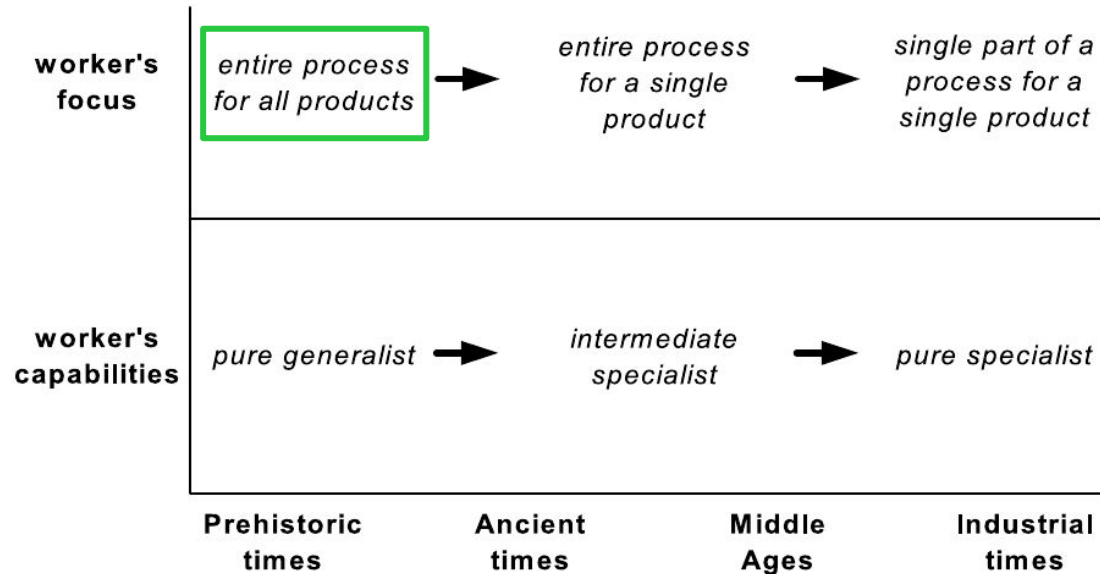
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Historical Perspective

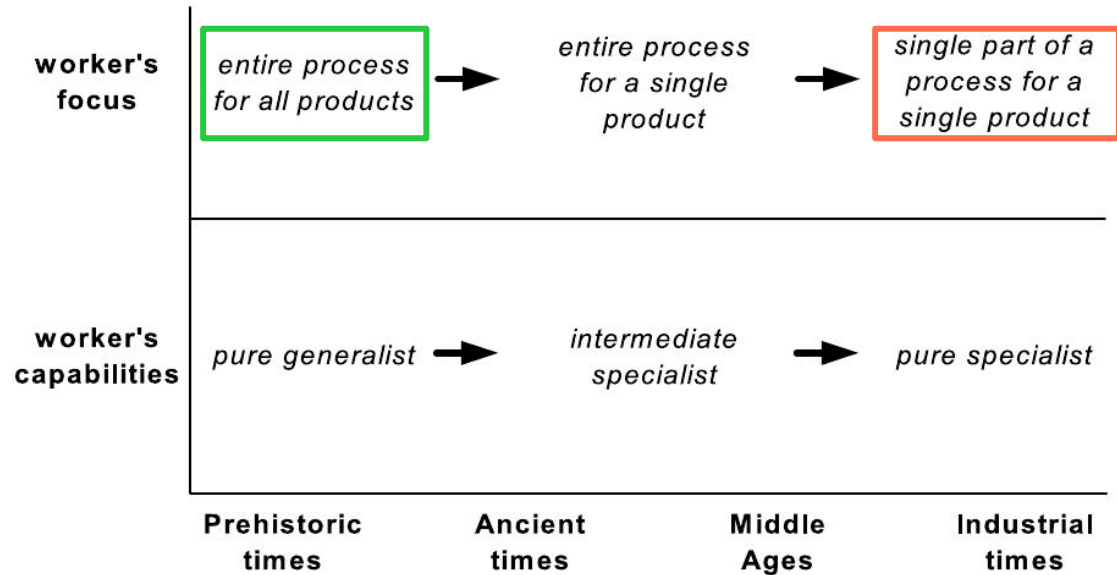
History of BPM

- Prehistoric: Generalists
- Ancient: Specialization
- Industrial Revolution: Division of labor
- 20th century: Functional organizations

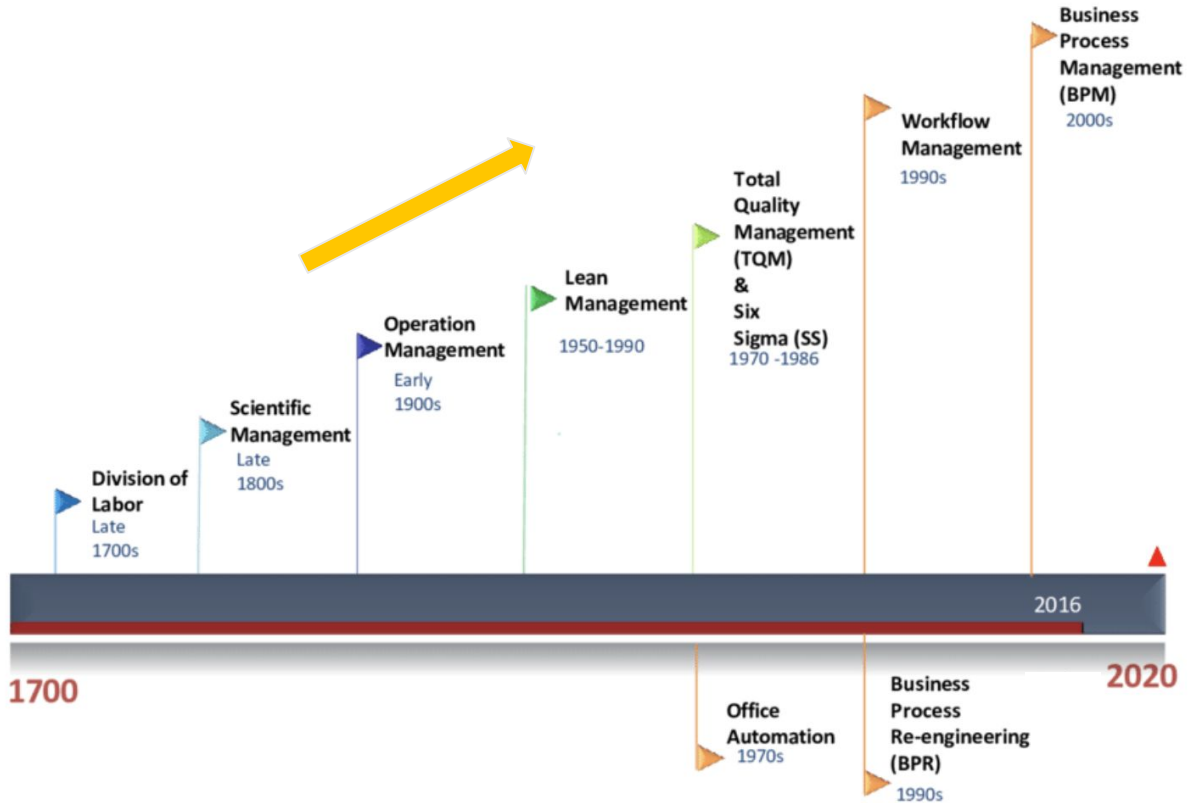
How Process Lost Focus



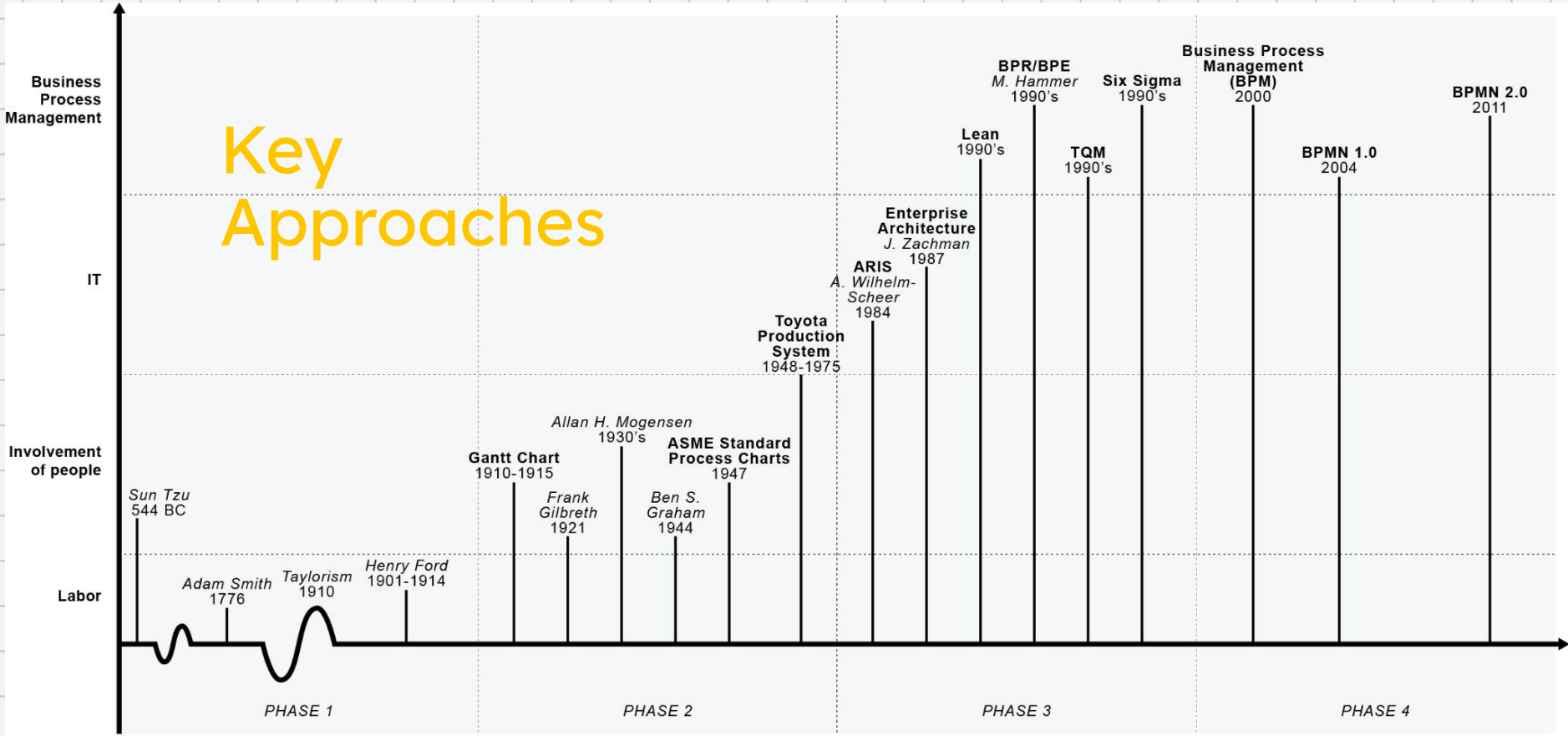
How Process Lost Focus



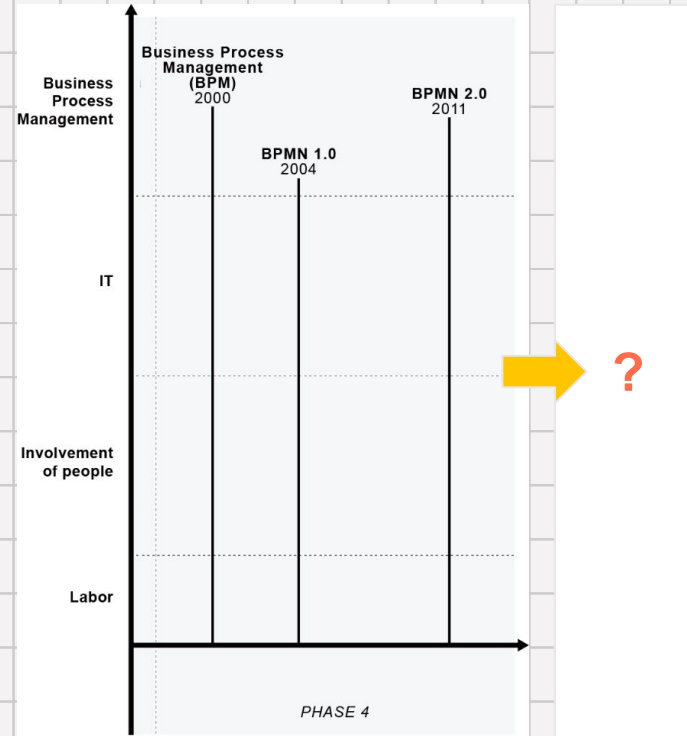
Process Rediscovered



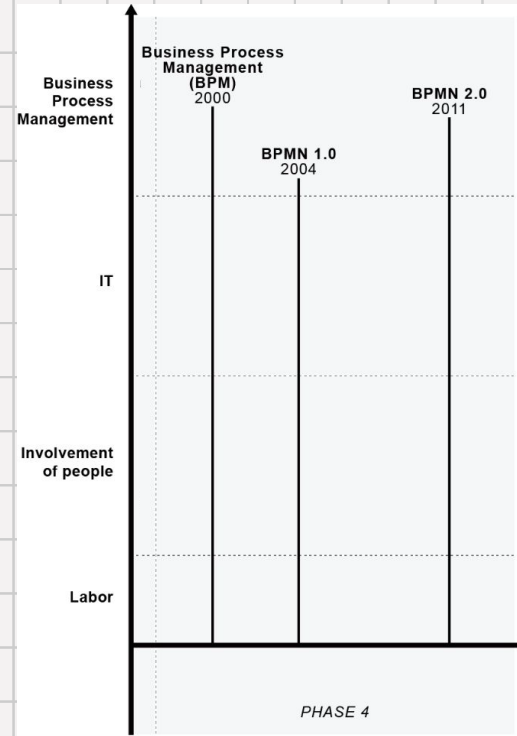
Key Approaches



Discussion: What's Phase 5?



Discussion: What's Phase 5?



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So What's BPM?

What is BPM?



Business Process Management (BPM) is the art and science of overseeing how work is performed in organizations to ensure consistent outcomes and enable improvement opportunities.

Why BPM Matters

- Reduce costs
- Improve execution times
- Reduce errors
- Deliver **consistent** value to customers

Related Disciplines

- Total Quality Management (TQM)
- Operations Management
- Lean
- Six Sigma
- Business Process Reengineering

Business Process Re-engineering (BPR)



1990s trend: Radical process redesign

Issues:

- Misuse
- Over-radicalism
- Lack of tools



"I propose we hire some new management consultants to reverse-engineer the previous consultants' re-engineering plan."

BPR vs. BPM



BPM has emerged as a more balanced discipline

- BPR = subset of BPM that focuses on radical redesign
- BPM covers full lifecycle: plan, execute, monitor, control

Modern BPM

Definition



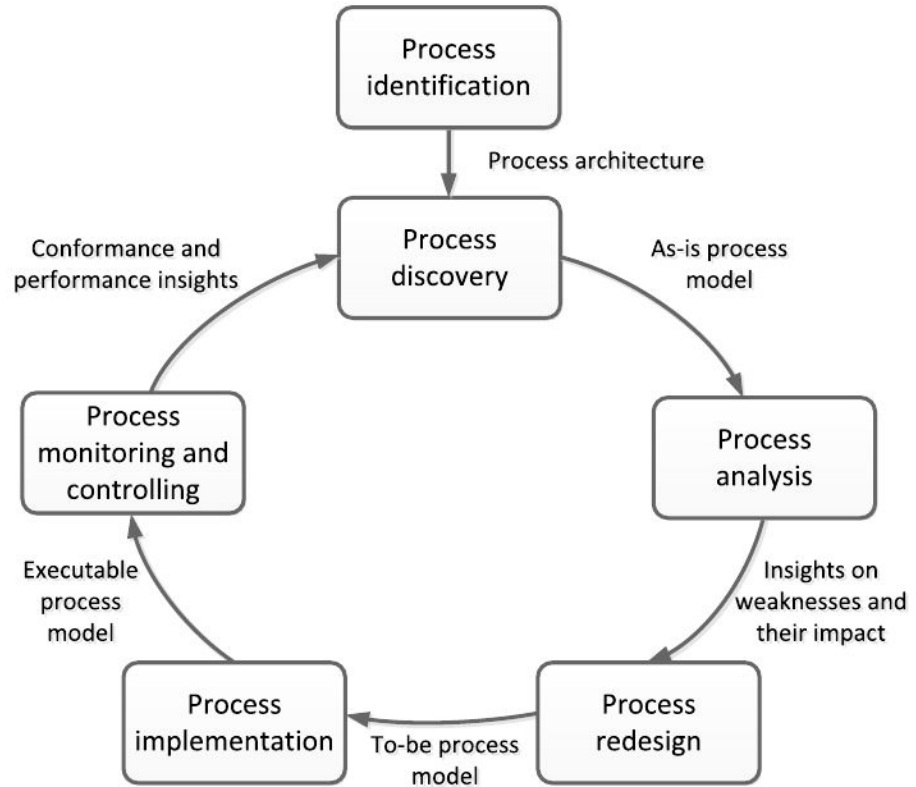
BPM is a collection of:
methods, techniques, and tools

Used to:
discover, analyze, redesign, execute, and monitor
business processes.

Business Process Semantics

- Events
- Activities / Tasks
- Decision Points
- Actors (humans, systems, organizations)
- Objects (documents, equipment, records)
- Outcomes (positive/negative)

BPM Lifecycle



Process Identification

- Define scope of processes
- Build process architecture
- Identify performance measures (cost, time, quality)

Process Discovery

- As-is modeling
- Tools: flowcharts, UML Activity Diagrams, EPC, BPMN
- Business Process Model & Notation (BPMN) is the modern standard

Example BPMN

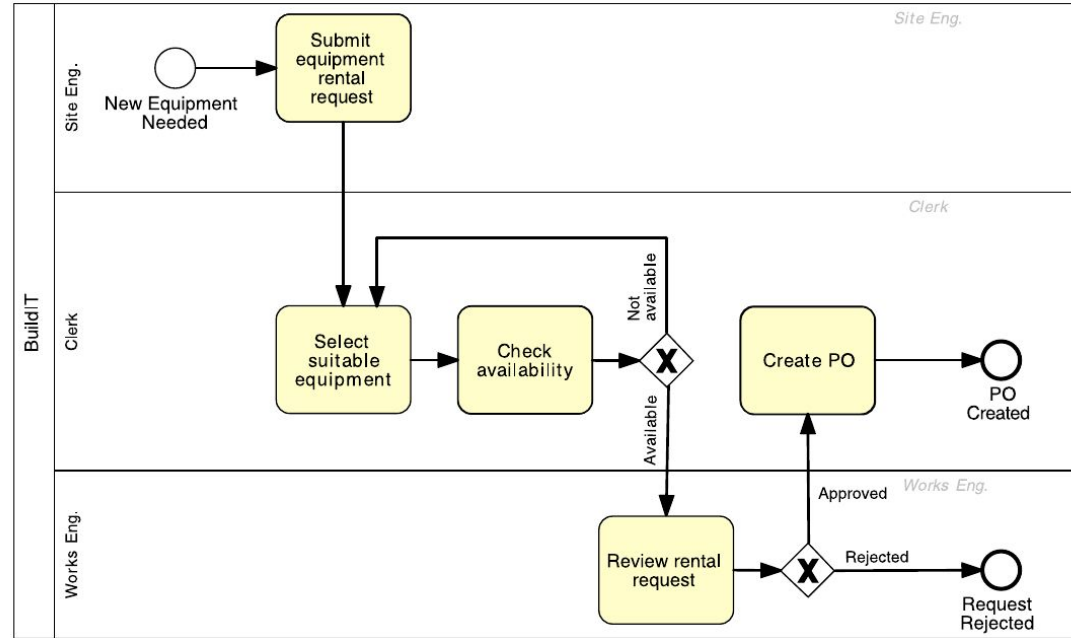


Fig. 1.6 Process model for an initial fragment of the equipment rental process

Process Analysis

- Identify issues (cycle time, waiting time, errors)
- Use performance measures
- Prioritize issues

Process Redesign

- Create to-be process
- Compare options
- Balance improvements with feasibility and risks

Process Implementation

- Organizational change management
- Process automation (Robotic Process Automation, Generative / Agentic AI, BPMS)
- Training and adoption

Process Monitoring & Control

- Collect data
- Identify bottlenecks/errors
- Apply corrective actions
- Continuous improvement cycle

Stakeholders in BPM

- Management (CEO, COO, CIO, CFO)
- Process Owners
- Process Participants
- Analysts
- System Engineers
- BPM Group / Center of Excellence

Gartner predicts that by next year, 75% of enterprise applications will embed Agentic AI, and over 60% of BPM systems will integrate LLM-based agents to enhance orchestration.